Credo Brands Marketing Ltd

Concall tracker report · Q2 2027 (Sep 2026 quarter) · prepared 11 Nov 2026

1. Snapshot

Owner of Mufti, a mid-premium casual menswear brand (shirts, T-shirts, jeans and trousers, outerwear) sold through about 420 exclusive brand outlets, multi-brand stores, department stores and online. Listed in December 2023.

- Market cap about Rs 529 cr: small.
- FY26 sales Rs 592 cr; growth has stalled since listing as the company consolidates stores.
- Gross margin consistently above 57% (58.4% in FY26); EBITDA margin 26% in FY26 vs 29.1% in FY25.
- Q2 FY27 (Sep 2026): revenue Rs 189.3 cr, up 16%; EBITDA Rs 59.5 cr, margin 31.4% (+200 bps); profit Rs 27.3 cr, up 45% (investor presentation). H1 FY27 revenue +11%, EBITDA margin 27.4% (-50 bps).
- No borrowings; promoters hold about 55%.

2. Concall coverage

The Q2 FY27 call was held (Nov 2026) but its transcript was not yet published when this report was written. Q2 FY27 is covered from the company's investor presentation; the latest call read in full is Q1 FY27 (12 Aug 2026).

Quarter	Date	Transcript read?
Q3 FY24 → Q3 FY26 (9 calls)	Feb 2024 → Feb 2026	Skimmed for guidance and promises
Q4 FY26	May 2026	Key sections
Q1 FY27	12 Aug 2026	Yes, in full ★
Q2 FY27	Nov 2026	Transcript not yet out; investor presentation read

About two and a half years of calls, from the first after listing.

Latest update highlights: Q2 FY27 presentation and Q1 FY27 call (12 Aug 2026)

- Q2 FY27 revenue +16%, gross margin 58.6%, EBITDA margin 31.4%, profit +45%. 419 stores at quarter end.
- Q1 FY27 was weak: revenue +5%, EBITDA down to Rs 26.6 cr from about Rs 31 cr on higher advertising, profit Rs 2.3 cr. Demand moderated from mid-May.
- 'Mufti 2.0': premium store identity, renovated and relocated stores, closing weak ones; marketing at 8-10% of revenue through FY27. Target this year: mid-single-digit same-store growth.
- MD: 'for the next 2-odd years, it's going to be very difficult for us to say what exactly the numbers will pan out'; positive signals from renovated stores but too early to extrapolate.

Business mix & capacity

- Domestic vs export: all domestic. Sales mix Q2 FY27: multi-brand outlets about 47%, exclusive outlets about 36%, large-format stores about 12%, online about 4%.
- Capacity: an asset-light brand (outsourced manufacturing); store network about 420, being reshaped rather than grown.

3. Earning trigger thesis

The only named driver is Mufti 2.0: premium stores, more brand advertising and a sharper product range, aimed at reviving growth that stalled after the listing. The Sep 2026 quarter was good, but management itself won't put numbers on the turnaround for about two years.

Trigger	What management said	Evidence so far	Time horizon	Strength
Mufti 2.0 store and brand revamp	Positive signals from renovated stores; long-drawn process (Aug 2026)	Q2 FY27 revenue +16%; H1 +11%	2 years	Unproven
Same-store growth	Mid-single-digit same-store growth this year (Aug 2026)	Not reported yet	FY27	Unproven

3b. Trigger check

Trigger type	Yes/No	What was said (date)
Debt cut	No	No borrowings
New business	No	Management says the focus is transforming the brand, not new categories
Margin up	No	Q2 margin rose but Q1 fell on advertising; no margin-up plan stated
New management	No	Not discussed
New capacity	No	Stores being consolidated
Big orders	No	Not applicable
Turnaround	No	Called a 'transformation phase', with no turnaround claimed
Promoter buying	No	Promoter stake flat

Single concrete driver: The Mufti 2.0 revamp of stores and brand, which management says will take about two years to show.

3c. Margin bridge

Q2 FY27 EBITDA margin 31.4% vs 29.4%, on a higher gross margin (58.6% vs 57.1%) and sales growth; but H1 margin was slightly down because advertising was raised to 8-10% of sales. Gross margin has been steady above 57% for five years. Not explained as a lasting change (one-off).

4. Management consistency scorecard

Period	What was promised	What actually happened	Verdict
Q4 FY24 call (Jun 2024)	Mid-teens growth; add 30-40 stores in FY25	Growth slowed; net 16 stores added in FY25	Missed
FY25-FY26 calls	Double-digit growth, then single digit, then 'flattish' FY26	FY26 roughly flat, Q4 +6%	Guidance cut repeatedly
Nov 2025 call	EBITDA margin 27-30% even with more advertising	FY26 26%	Missed
Q1 FY27 call	Marketing 8-10% of revenue; mid-single-digit same-store growth	Q1 marketing about 8.5%; Q2 revenue +16%	Too early

The story has moved from expansion (mid-teens growth, 30-40 new stores a year) to a consolidation and brand-rebuild phase with no numbers attached. Guidance was cut step by step and is now withheld.

5. Bottom line

Durable earning trigger? → MAYBE

Mufti 2.0 is a named plan and the Sep 2026 quarter was strong, but management says not to extrapolate and the revamp is unproven.

Management consistent? → NO

Growth targets were cut repeatedly from mid-teens to flat, margin guidance was missed, and management now declines to give numbers for about two years.

6. Checkpoints for next quarter

- December quarter revenue grows on a year ago
- Same-store sales growth reported positive
- EBITDA margin holds above a year ago despite advertising

Sources

- Screener.in: MUFTI financials and concall transcripts
- Q2 FY27 investor presentation filed with BSE, Nov 2026

This is not investment advice. Do your own due diligence.